



Management's Discussion and Analysis

Q2 2026

Extendicare Inc.
Dated: August 6, 2026

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Three and six months ended June 30, 2026
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BASIS OF PRESENTATION

This Management's Discussion and Analysis ("MD&A") provides information on Extendicare Inc. and its subsidiaries, and unless the context otherwise requires, references to "Extendicare", the "Company", "we", "us" and "our" or similar terms refer to Extendicare Inc., either alone or together with its subsidiaries. The Company's common shares (the "Common Shares") are listed on the Toronto Stock Exchange ("TSX") under the symbol "EXE". The registered office of Extendicare is located at 3000 Steeles Avenue East, Suite 400, Markham, Ontario, Canada, L3R 4T9.

Extendicare is a recognized leader in the delivery of quality health care services to Canadians, inspired by its mission to provide people with the care they need, wherever they call home. In operation since 1968, it is the largest private-sector provider of publicly funded home health care services in Canada through its wholly owned subsidiary ParaMed Inc. ("ParaMed") and the largest private-sector owner and operator of long-term care ("LTC") homes in Canada. As well, the Company provides management, consulting and other services to LTC homes owned by third parties and joint ventures to which the Company is a party through its Extendicare Assist division and procurement services through its group purchasing division, SGP Purchasing Network ("SGP").

The Company has a 15% managed interest in each of two limited partnership joint ventures with Axiom LTC Limited Partnership (with its affiliates "Axiom"). The limited partnership joint ventures, Axiom Extendicare LTC LP ("Axiom JV") and Axiom Extendicare LTC II LP ("Axiom JV II") (together, the "Joint Ventures"), are accounted for in the Company's consolidated financial statements as investments using the equity method.

In This MD&A

This MD&A has been prepared to provide information to current and prospective investors of the Company to assist them to understand the Company's financial results for the three and six months ended June 30, 2026. This MD&A should be read in conjunction with the Company's unaudited interim condensed consolidated financial statements for the three and six months ended June 30, 2026, and the notes thereto (the "consolidated financial statements"), together with the annual MD&A and the audited consolidated financial statements for the year ended December 31, 2025, and the notes thereto, prepared in accordance with IFRS[®] Accounting Standards as issued by the International Accounting Standards Board ("IASB"). The accompanying consolidated financial statements have been prepared in accordance with IAS 34 *Interim Financial Reporting*, as issued by the IASB.

In this document, "Q1" refers to the three-month period ended March 31; "Q2" refers to the three-month period ended June 30; "Q3" refers to the three-month period ended September 30; and "Q4" refers to the three-month period ended December 31. Except as otherwise specified, references to years indicate the fiscal year ended December 31, 2026, or December 31 of the year referenced.

In this MD&A, the Company uses a number of performance measures and indicators to monitor and analyze the financial results that do not have standardized meanings prescribed by IFRS Accounting Standards and, therefore, may not be comparable to similar performance measures and indicators used by other issuers. Refer to the "Key Performance Indicators" and "Non-GAAP Measures" sections of this MD&A for details.

The annual and interim MD&A, financial statements and other materials are available on the Company's website at www.extendicare.com. All currencies are in Canadian dollars unless otherwise indicated.

This MD&A is dated as of August 6, 2026, the date this report was approved by the Company's board of directors (the "Board of Directors" or "Board"), and is based upon information available to management as of that date. This MD&A should not be considered all-inclusive, as it does not include all changes that may occur in general economic, political and environmental conditions. Additionally, other events may or may not occur, which could affect the Company in the future.

ADDITIONAL INFORMATION

Additional information about the Company, including its latest Annual Information Form, may be found on SEDAR+ at www.sedarplus.ca under the Company's issuer profile and on the Company's website at www.extendicare.com.

FORWARD-LOOKING STATEMENTS

This MD&A contains forward-looking statements within the meaning of applicable Canadian securities laws ("forward-looking statements" or "forward-looking information"). Statements other than statements of historical fact contained in this MD&A may be forward-looking statements, including, without limitation, management's expectations, intentions and beliefs concerning anticipated future events, results, circumstances, economic performance or expectations with respect to the Company, including, without limitation: statements regarding dividend levels, its business operations, business strategy, growth strategy, results of operations and financial condition, including anticipated timelines and costs in respect of development projects; statements relating to the agreements entered into with Axiom and two limited partnership joint ventures with Axiom in respect of the acquisition, disposition, ownership, operation and redevelopment of LTC homes in Ontario and Manitoba; and statements relating to expected future current income taxes and maintenance capex impacting AFFO. Forward-looking statements can often be identified by the expressions "anticipate", "believe", "estimate", "expect", "intend", "objective", "plan", "project", "will", "may", "should" or other similar expressions or the negative thereof. These forward-looking statements reflect the Company's current expectations regarding future results, performance or achievements and are based upon information currently available to the Company and on assumptions that the Company believes are reasonable. Actual results and developments may differ materially from results and developments discussed in the forward-looking statements, as they are subject to a number of risks and uncertainties.

Although forward-looking statements are based upon estimates and assumptions that the Company believes are reasonable based upon information currently available, these statements are not representations or guarantees of future results, performance or achievements of the Company and are inherently subject to significant business, economic and competitive uncertainties and contingencies. In addition to the assumptions and other factors referred to specifically in connection with these forward-looking statements, the risks, uncertainties and other factors that could cause the actual results, performance or achievements of the Company to differ materially from those expressed or implied by the forward-looking statements, include, without limitation, those described under "Risks and Uncertainties" in this MD&A and those other risks, uncertainties and other factors identified in the Company's other public filings with the Canadian securities regulators available on SEDAR+ at www.sedarplus.ca under the Company's issuer profile. These risks and uncertainties include the following: the occurrence of a pandemic, epidemic or outbreak of a contagious illness, such as COVID-19; changes in the overall health of the economy and changes in government, both domestic and foreign; the availability and ability of the Company to attract and retain qualified personnel; changes in the health care industry in general and the long-term care industry in particular because of political, legal and economic influences; inflationary pressures, tariffs and supply chain interruptions, in particular as they impact redevelopment; changes in regulations governing the health care and long-term care industries and the compliance by the Company with such regulations; changes in government funding levels for health care services; the ability of the Company to comply with and renew its government licenses and customer and joint venture agreements; changes in labour relations, employee costs and pay equity; changes in tax laws; resident care and class action litigation, including the Company's exposure to punitive damage claims, increased insurance costs and other claims; the ability of the Company to maintain and increase resident occupancy levels and business volumes; changes in competition; changes in demographics; changes in interest rates; changes in the financial markets, which may affect the ability of the Company to refinance debt; and the availability and terms of capital to the Company to fund capital expenditures and acquisitions; changes in the anticipated outcome and benefits of proposed or actualized dispositions, acquisitions and development projects, including risks relating to the actual completion of proposed transactions.

The preceding reference to material factors or assumptions is not exhaustive. All forward-looking statements in this MD&A are qualified in their entirety by this forward-looking disclaimer. Although forward-looking statements contained in this MD&A are based upon what management believes are reasonable assumptions, there can be no assurance that actual results will be consistent with these forward-looking statements. Accordingly, readers should not place undue reliance on such forward-looking statements and assumptions as management cannot provide assurance that actual results or developments will be realized or, even if substantially realized, that they will have the expected consequences to, or effects on, the Company. The forward-looking statements speak only as of the date of this MD&A. Except as required by applicable securities laws, the Company assumes no obligation to update or revise any forward-looking statements, whether as a result of new information, future events or otherwise.

SIGNIFICANT DEVELOPMENTS

Acquired CBI Home Health for \$570 Million

On April 1, 2026, the Company, through its wholly owned home health care subsidiary, ParaMed, completed the acquisition of CBI Home Health LP and CBI (GP) 3 Inc. and their respective subsidiaries (collectively, "CBI Home Health"), from CBI Health LP and CBI GP Holdco Inc. (the "CBI Acquisition") for a cash purchase price of \$570.0 million, subject to customary adjustments, plus approximately \$17.3 million in estimated lease liabilities in accordance with IFRS 16 *Leases* ("IFRS 16"). The CBI Acquisition was funded using a combination of the net proceeds of approximately \$191.5 million from the Company's private placement of Common Shares that was completed on December 3, 2025, aggregate draws of approximately \$308.2 million under the Company's then existing senior secured credit facility (the "Senior Secured Credit Facility"), (\$154.5 million delayed draw term facility and \$153.7 million revolving credit facility), and cash on hand.

The CBI Acquisition accelerates the Company's service-focused growth strategy and strengthens its national leadership position in home health care. CBI Home Health provides services in seven provinces and delivered over 10 million hours of care in 2024, with average daily volume of approximately 28,000 hours. CBI Home Health's approximately 8,500 team members provide a comprehensive suite of publicly funded home health care services, including innovative care models such as hospital to home programs, integrated care provided by interdisciplinary teams and specialized community support services.

In Q2 2026, CBI Home Health delivered approximately 3.1 million hours of care and contributed revenue, NOI and Adjusted EBITDA of approximately \$145.7 million, \$19.5 million, and \$18.5 million, respectively.

For more information refer to *Note 3* of the consolidated financial statements.

Completed \$450 million Inaugural Offering of Investment Grade Senior Unsecured Notes and Amended Credit Facility

On April 14, 2026, the Company completed its offering of \$450.0 million aggregate principal amount of 4.345% senior unsecured notes due April 14, 2031 (the "2031 Notes"). The 2031 Notes have been assigned a final rating of BBB with a Stable trend by Morningstar DBRS. The Company used approximately \$427.7 million of the net proceeds of the offering to repay in full the indebtedness owing under its delayed draw term facility, and a portion of the indebtedness owing under its revolving credit facility, with the balance to be used for working capital and other general corporate purposes, including the repayment of other existing indebtedness.

In conjunction with the debt repayment, the existing senior secured credit facilities were amended and restated to reflect an investment grade credit rating structure, including the release of all security previously granted to the lenders, such that the Company's remaining \$250.0 million revolving credit facility (the "Unsecured Revolving Facility") is senior unsecured debt that ranks equally and *pari passu* with the 2031 Notes.

For more information refer to "Liquidity and Capital Resources – Long-term Debt" and *Note 7* of the consolidated financial statements.

Ontario LTC Redevelopment Activities

As at August 6, 2026, the Company has six LTC redevelopment projects under construction in Ontario through the Joint Ventures, comprising 1,408 new beds to replace 1,072 Class C beds. The homes are being constructed with private and semi-private rooms, with substantial improvements in common areas used by the residents. For more information refer to "Key Performance Indicators – LTC Projects Under Construction".

In July 2025, the Ontario Ministry of Long-Term Care (the "MLTC") introduced the new Long-Term Care Home Capital Funding Program ("CFP"), to support the construction of new LTC homes in the province. The new CFP provides greater funding flexibility as it more effectively addresses regional variation in construction costs, expands eligible costs for funding support and provides increased funding compared to prior programs. Notably, the new CFP has made a meaningful effort to recognize the particular cost challenges inherent in building in the Greater Toronto Area. In addition, the new CFP is not time limited, providing greater certainty that funding support for redevelopment will be available over a longer time horizon.

We continue to advance 17 redevelopment projects not already under construction to make as many of these projects as possible economically feasible under the new CFP.

COMPLETED SALE OF LTC REDEVELOPMENT PROJECT (320 BEDS) TO AXIUM JV

In May 2026, the Company completed the sale of the LTC redevelopment project in Sudbury (320 beds) to Axiom JV for cash proceeds of \$18.1 million, net of Extendicare's 15% retained interest, holdbacks and closing costs. The net book value of the project was \$12.6 million, resulting in an estimated pre-tax gain of \$8.9 million (\$7.7 million after tax) (refer to *Note 11* of the consolidated financial statements). This new home is currently under construction and is anticipated to open in early 2029.

OPENED LTC HOME (320 BEDS) IN AXIUM JV II

In May 2026, the Company opened Axiom JV II's new 320-bed Beauclaire LTC home in Ottawa, Ontario, replacing Carlingview Manor's 303 Class C beds, 53 of which were out-of-service ward-style beds. The Company has initiated the sale process for the vacated Class C LTC home.

BUSINESS OVERVIEW

The Company's home health care segment, operating under ParaMed, delivered approximately 7.1 million hours of service in seven provinces during the three-month period ended June 30, 2026. Operations are predominantly in Ontario, which accounted for 75.0% of total service volume, while Alberta, Manitoba and Nova Scotia represented 15.7%, 3.6% and 3.4%, respectively. The balance of the service volume was delivered in New Brunswick, Saskatchewan and British Columbia.

As at June 30, 2026, the Company operated 97 LTC homes, composed of 58 homes (7,897 beds) wholly owned by the Company and 39 homes (5,998 beds) managed on behalf of third parties through Extendicare Assist, including 29 LTC homes owned by the Joint Ventures, in which the Company holds a 15% managed interest. The Company's network of 97 LTC homes has capacity for 13,895 residents across three provinces in Canada, with Ontario, Manitoba and Alberta accounting for 76.3%, 12.8% and 10.9% of residents served, respectively.

In addition to providing procurement services to the LTC homes owned entirely by the Company, SGP supports third-party clients and the LTC homes owned by the Joint Ventures, which represents approximately 161,700 beds across Canada, as at June 30, 2026.

Joint Ventures

Joint ventures are accounted for in the Company's consolidated financial statements as investments using the equity method, whereby the investment is initially recognized at cost, and adjusted thereafter to recognize the Company's share of the profit or loss and other comprehensive income or loss of the joint venture from the date of acquisition, increased by the Company's contributions and reduced by distributions received. The Company's share of joint venture profit or loss is included in the consolidated statements of earnings.

The following table summarizes the classification of the 35 properties (5,614 beds) that are owned through the Company's joint ventures as at June 30, 2026.

Joint Venture	# of Properties		# of Beds		Extendicare Ownership	Accounting Treatment
	Operational	Under Construction	Operational	Under Construction		
Axium Extendicare LTC II LP	26	—	3,502	—	15%	Equity method
Axium Extendicare LTC LP	3	6	704	1,408	15%	Equity method

Operating Segments

The Company reports on the following segments: i) home health care; ii) long-term care; iii) managed services, composed of the Extendicare Assist and SGP divisions; and iv) the corporate functions, including the Company's joint venture interests, as "corporate".

The following table summarizes the contribution of the business segments to the Company's consolidated revenue and NOI for the six months ended June 30, 2026 and 2025.

Operating Segments as % of	Six months ended June 30,				Year ended December 31,	
	2026		2025		2025	
	Revenue	NOI	Revenue	NOI	Revenue	NOI
Home health care	52.6%	48.0%	41.8%	38.5%	42.2%	41.2%
Long-term care	44.3%	39.9%	53.4%	42.9%	53.7%	43.2%
Managed services	3.1%	12.1%	4.8%	18.6%	4.1%	15.6%
Total	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%

The following describes the operating segments of the Company.

Home Health Care

The Company provides home health care services through ParaMed, whose professionals and staff members are skilled in providing complex nursing care, occupational, physical and speech therapy and assistance with daily activities to accommodate clients of all ages living at home.

Provincial governments fund a wide range of home health care services and contract with service providers such as ParaMed to provide these services. ParaMed receives approximately 99% of its revenue from contracts tendered by locally administered provincial agencies, with the remainder coming from private clients.

HOME HEALTH CARE FUNDING CHANGES

The following summarizes funding changes announcements for home health care to date.

As a result of Assisted Living Alberta's ("ALA's") retroactive increase to funded rates for continuing care operators implemented in March 2026, the Company's home health care operations recognized additional revenue of approximately \$1.0 million in Q1 2026, of which approximately \$0.8 million related to prior periods retroactive to April 1, 2025.

In April 2026, as part of the Ontario government's 2026 budget, the government announced an additional \$1.1 billion investment over three years to support patients through expanded home and community care services. This investment builds on the \$1.1 billion over three years announced in October 2025 as part of the *2025 Ontario Economic Outlook and Fiscal Review*. While program details have not yet been released, these investments are intended to increase home health care service volumes across the province. It remains uncertain whether rate increases will result from the increased funding. To date, Ontario Health atHome has not announced any bill rate increases for the home health care sector for 2026.

Long-term Care

The homes owned entirely by the Company are reported under the long-term care operating segment and consist of 58 LTC homes with capacity for 7,897 residents, inclusive of 2,913 operational Class C LTC beds in Ontario that are eligible for redevelopment, a stand-alone funded designated supportive living home (140 suites) and a funded designated supportive living wing (60 suites) in Alberta, and 574 private pay retirement suites in seven mixed-use homes and 76 private pay suites in retirement wings of two homes in Ontario. In addition, the Company has 171 ward-style beds in Ontario LTC homes that were taken out of service as a result of regulatory changes and which are eligible to be reinstated upon redevelopment of the Company's Class C LTC beds.

Provincial legislation and regulations closely control all aspects of the operation and funding of LTC homes and government-funded designated supportive living homes, including the fee structure, subsidies, the adequacy of physical homes, standards of care and accommodation, equipment and personnel. A substantial portion of the fees paid to providers of these services are funded by provincial programs, with a significantly smaller portion to be paid by the resident. No individual is refused access to long-term care due to an inability to pay, as a government subsidy for basic accommodation, generally based on an income test, is available for LTC residents who are unable to afford the resident co-payment. Long-term care funding in Ontario is provided in four envelopes allocated to personal care, programming, nutritional support and other accommodation, respectively. The first three envelopes must be spent entirely on residents and are independently audited with any surplus funding returned to the government. In Alberta, designated supportive living homes provide an alternative setting for residents not yet requiring the needs of a more expensive LTC home. Such homes are licensed, regulated and funded in Alberta by ALA in a similar manner to LTC homes, including a government-determined fee structure.

In Ontario, long-term care operators have the opportunity to receive additional funding through higher accommodation rates charged to residents for private and semi-private accommodation, at maximum preferred accommodation rates that are fixed by the government. Long-term care operators are permitted to designate up to 60% of the resident capacity of a home as preferred accommodation and charge premiums that vary according to the structural classification of the LTC home.

The following summarizes the significant government funding changes announced for LTC in 2026 in Ontario, Alberta and Manitoba.

ONTARIO LTC FUNDING CHANGES

Effective April 1, 2026, the MLTC implemented a funding increase of 2.0% to the other accommodation envelope and to the flow-through envelopes. The Company estimates these funding changes will result in net incremental annual revenue of approximately \$10.0 million, of which \$2.5 million is applicable to the non-flow-through, other accommodation envelope.

Effective July 1, 2026, the MLTC implemented a 2.1% increase in preferred accommodation premiums paid by residents to LTC providers for private and semi-private accommodation. For older LTC beds that are not classified as "New" or "A" beds, the maximum daily preferred accommodation premiums are \$9.61 and \$21.58 for semi-private and private rooms, respectively. For newer LTC beds that are classified as "New" or "A" beds, the maximum daily preferred accommodation premiums are \$14.40 and \$30.01 for semi-private and private rooms, respectively.

ALBERTA LTC FUNDING CHANGES

In March 2026, ALA notified continuing care operators of a retroactive increase to funded rates to reflect recently ratified collective bargaining agreements and related market adjustments outlined in Alberta's 2026 budget. The previously communicated 1.25% rate increase for fiscal 2025/2026 was revised upward by 6% to 7.25%, resulting in additional revenue of approximately \$6.9 million recognized in Q1 2026, of which approximately \$5.2 million related to prior periods retroactive to April 1, 2025.

MANITOBA LTC FUNDING CHANGES

Effective April 1, 2026, Manitoba Health implemented funding changes for LTC operators, largely to support union wage increases and, in part, higher costs of care. The Company estimates that these funding increases represent additional annual revenue of approximately \$5.1 million.

Managed Services

The Company leverages its size, scale and operational expertise in the seniors' care industry to provide managed services to third parties and joint ventures to which the Company is a party through its Extendicare Assist and SGP divisions.

MANAGEMENT CONTRACTS AND CONSULTING AND OTHER SERVICES

Through its Extendicare Assist division, the Company provides management, consulting and other services to third parties and joint ventures to which the Company is a party, including not-for-profit and for-profit organizations, hospitals and municipalities. Extendicare Assist's business is classified into two categories: (i) management contracts and (ii) consulting and other services. The management contracts category consists of two offerings: i) a fully managed service, providing management oversight of the day-to-day operations of the homes and ii) a back-office services only offering. The full-service management contract offering provides the full suite of back-office support services with oversight of the day-to-day operations of a home supported by our regional support and clinical quality management teams. The full suite of back-office support services includes human resources, labour relations, payroll and benefits administration, accounting and information technology expertise supported by our cloud-based integrated technology platform that provides all of the systems needed to operate a seniors' care home. The consulting and other services category covers a wide variety of offerings, including clinical improvement programs, operational reviews, financial performance advice and LTC home redevelopment services. We also offer an LTC operating policy subscription service that can be procured as a standalone service.

As at June 30, 2026, Extendicare Assist held management contracts for 39 LTC homes with capacity for 5,998 residents, including 29 LTC homes owned by the Joint Ventures. Extendicare Assist also provided a further 28 homes with consulting and other services. Some of the LTC homes under management contract include both funded LTC beds and private pay retirement beds as part of the same mixed-use property.

GROUP PURCHASING SERVICES

Through its SGP division, the Company offers cost-effective purchasing contracts to other seniors' care providers and, to a lesser degree, other parties, such as daycares, hostels and clinics, for food, capital equipment, furnishings, cleaning and nursing supplies and office products. SGP negotiates long-term, high volume contracts with suppliers that provide members with preferred pricing, thereby providing a cost-effective means to secure quality national brand-name products, along with a range of innovative services. As at June 30, 2026, SGP provided services to third parties and joint ventures to which the Company is a party representing approximately 161,700 beds across Canada.

KEY PERFORMANCE INDICATORS

In addition to those measures identified under "Non-GAAP Measures", management uses certain key performance indicators in order to compare the financial performance of the Company's operations between periods. Such performance indicators may not be comparable to similar indicators presented by other companies. Set forth below is an analysis of the key performance indicators and a discussion of significant trends when comparing the Company's financial results.

The following is a glossary of terms for some of the Company's key performance indicators:

"Average Daily Volume" or "ADV" in the context of the home health care operations, is measured as the number of hours of service provided divided by the number of days in the period; and

"Occupancy" is measured as the percentage of the number of earned resident days relative to the total available resident days. Total available resident days is the number of beds available for occupancy multiplied by the number of days in the period. The determination of earned and available resident days is adjusted for certain bed types that are excluded from the government's occupancy requirements for funding purposes.

Home Health Care

The table set out below provides the service volumes and ADV of the home health care operations for the past eight quarters. In Q2 2026, ADV increased to 77,478, up 132.6% from Q2 2025 (up 31.7% excluding ADV of 33,609 contributed by CBI Home Health), driven by organic growth and the acquisition of Closing the Gap Healthcare Group Inc. and certain affiliates (collectively, "Closing the Gap") in July 2025.

Our home health care operations have experienced sequential growth in ADV every quarter since Q3 2022, which has lessened the seasonality that has historically characterized our business, masking the seasonal softness in ADV typically experienced in the summer months. Should demand growth moderate, these seasonal patterns may become more evident in our results.

Management expects the home health care market to grow at a long-term annual rate of approximately 6-8%, reflecting the 4% growth trend in the over age 75 demographic, augmented by demand arising from persistent shortages in LTC capacity. In recent quarters, demand growth has been significantly higher, likely in large part related to a backlog of unmet care needs in the community enabled by enhanced government funding. We cannot predict the size of this backlog or how long volume growth will exceed long-run expectations.

Home Health Care Service Volumes	2026		2025				2024	
	Q2	Q1	Q4	Q3	Q2	Q1	Q4	Q3
Hours of service (000's)	7,050.5	3,774.2	3,628.4	3,460.0	3,031.2	2,844.3	2,851.4	2,776.7
ADV	77,478	41,936	39,440	37,609	33,310	31,603	30,993	30,181
Change over prior year period	132.6 %	32.7 %	27.3 %	24.6 %	10.9 %	8.9 %	10.1 %	10.2 %
Sequential quarterly change	84.8 %	6.3 %	4.9 %	12.9 %	5.4 %	2.0 %	2.7 %	0.5 %

Long-term Care

The following table provides the average occupancy levels of the LTC operations for the past eight quarters.

Long-term Care Homes Average Occupancy ⁽ⁱ⁾ (%)	2026		2025				2024	
	Q2	Q1	Q4	Q3	Q2	Q1	Q4	Q3
Total LTC	98.0%	97.5%	98.0%	98.5%	98.3%	97.5%	98.0%	98.4%
Change over prior year period (bps)	(30)	—	—	10	50	—	20	60
Sequential quarterly change (bps)	50	(50)	(50)	20	80	(50)	(40)	60
Ontario LTC								
Total ON LTC	98.6%	98.2%	98.5%	98.6%	98.6%	98.2%	98.5%	99.1%
Preferred Accommodation ⁽ⁱⁱ⁾								
"New" homes – private	97.2%	97.0%	97.3%	97.6%	97.8%	96.8%	95.9%	96.2%
"C" homes – private	95.5%	96.0%	94.6%	94.7%	94.6%	92.3%	94.5%	93.5%
"C" homes – semi-private	79.1%	76.8%	76.6%	74.9%	75.2%	72.9%	72.5%	70.8%

(i) Excludes private pay retirement suites in mixed-use homes and ward-style beds in Ontario LTC homes that were taken out of service per regulatory changes, and which form part of the Company's Class C beds that are eligible to be reinstated upon redevelopment (171 ward-style beds at the end of Q2 2026).

(ii) Average occupancy reported for the available private and semi-private rooms reflects the percentage of residents occupying those beds that pay the respective premium rates.

In Ontario, government funding is occupancy-based, but once the average occupancy level of 97% for the calendar year is achieved, operators are funded based on 100% occupancy. In the event of closure to admissions related to an outbreak, which is not unusual during the winter months, full funding is preserved in Ontario, otherwise referred to as occupancy protection funding. However, occupancy protection does not compensate for the loss of preferred accommodation premiums from private and semi-private room vacancies.

LTC Projects Under Construction

The following table summarizes the LTC development projects under construction as at August 6, 2026.

LTC Project	Owner ⁽ⁱ⁾	Extendicare	# of	# of	Construction	Expected	Estimated
		Ownership	Class C Beds	New			
		Interest	Replaced	Beds	Commenced	Opening	Development Costs ⁽ⁱ⁾ (\$ millions)
Forest Trail (Peterborough)	Axium JV	15.0 %	172	256	Q2-23	Q3-26	106.0
Garneau Park (Orleans)	Axium JV	15.0 %	240	256	Q4-23	Q1-27	103.3
St. Catharines	Axium JV	15.0 %	152	256	Q3-24	Q1-27	106.4
Port Stanley	Axium JV	15.0 %	60	128	Q4-24	Q1-27	52.7
London	Axium JV	15.0 %	170	192	Q4-24	Q2-27	77.7
Sudbury	Axium JV	15.0 %	278	320	Q4-25	Q1-29	125.9
			1,072	1,408			572.0

(i) Development costs are defined on an IFRS basis (which includes the cost of land, hard construction and soft development costs, furniture, fixtures and equipment, financing costs and capitalized interest costs during construction), net of any capital development government grant receivable on substantial completion of construction, if applicable.

Certain LTC development projects experienced unforeseen site conditions that impacted projected opening dates. In addition, certain projects have experienced construction delays that have also impacted costs and opening dates. Furthermore, during 2025 the estimated development costs for certain projects were adjusted based on favourable changes to municipal development charges related to LTC and changes to the treatment of indirect taxes associated with new LTC developments. We continue to work with our general contractors and construction partners to mitigate the impacts of these factors on schedules and costs.

Managed Services

The table set out below provides information in respect of the third-party clients, including the Joint Ventures, receiving services from Extendicare Assist and SGP at the end of each period for the past eight quarters. For Extendicare Assist, the key performance indicators reflect homes and beds under our management contracts offering, excluding those homes that receive consulting and other services.

Managed Services	2026		2025				2024	
	Q2	Q1	Q4	Q3	Q2	Q1	Q4	Q3
Extendicare Assist Management Contracts								
Homes at period end								
Third party	10	12	12	12	12	44	44	44
Joint Ventures	29	28	28	28	28	28	27	26
Total homes at period end	39	40	40	40	40	72	71	70
Resident capacity								
Third party	1,792	2,351	2,351	2,351	2,351	6,279	6,279	6,279
Joint Ventures	4,206	3,886	3,886	3,886	3,886	3,886	3,630	3,438
Total resident capacity	5,998	6,237	6,237	6,237	6,237	10,165	9,909	9,717
Change over prior year period	(3.8)%	(38.6)%	(37.1)%	(35.8)%	(36.2)%	4.0 %	1.3 %	(2.5)%
Sequential quarterly change	(3.8)%	— %	— %	— %	(38.6)%	2.6 %	2.0 %	(0.6)%
SGP Clients								
Third-party and joint-venture beds	161,654	157,072	153,575	152,090	149,295	148,209	146,292	143,547
Change over prior year period	8.3 %	6.0 %	5.0 %	6.0 %	5.9 %	7.2 %	7.4 %	11.4 %
Sequential quarterly change	2.9 %	2.3 %	1.0 %	1.9 %	0.7 %	1.3 %	1.9 %	1.9 %

As at June 30, 2026, Extendicare Assist held management contracts with 39 LTC homes with capacity for 5,998 residents, including 206 private pay retirement beds, and provided a further 28 homes with consulting and other services. During Q2 2026, the Company opened Beauclaire (320 beds), a new LTC home within Axiom JV II, bringing the total LTC homes in operation in the Joint Ventures to 29. In addition, two third-party LTC home Assist contracts (one of which was for back-office services only) were not renewed in Q2 2026.

During 2025, the number of managed homes operated by Extendicare Assist was impacted by the opening in Q1 2025 of Crossing Bridge (256 beds), a new LTC home within Axiom JV, and the sale in Q2 2025 by Revera Inc. and/or its affiliates (collectively "Revera") of 30 Class C homes, nine of which were acquired by the Company on June 1, 2025. As a result, the management agreements in respect of the 30 homes, as well as related development agreements, terminated in accordance with their terms. In addition, two LTC homes managed by Extendicare Assist moved to self-management or ceased operations during Q2 2025.

SGP continues to grow its market share, increasing its third-party, including joint-venture, beds served at the end of Q2 2026 by 8.3% from Q2 2025, and 2.9% from Q1 2026.

SELECT QUARTERLY FINANCIAL INFORMATION

The following is a summary of select quarterly financial information for the past eight quarters.

	2026						2025	2024
(thousands of dollars unless otherwise noted)	Q2	Q1	Q4	Q3	Q2	Q1	Q4	Q3
Revenue	611,040	465,224	462,034	440,275	383,445	374,654	391,564	359,061
Net operating income ⁽¹⁾	86,183	69,024	65,736	65,902	54,972	50,228	53,822	50,117
NOI margin ⁽¹⁾	14.1%	14.8%	14.2%	15.0%	14.3%	13.4%	13.7%	14.0%
Adjusted EBITDA ⁽¹⁾	68,328	52,858	49,452	50,771	39,785	35,606	39,699	36,107
Adjusted EBITDA margin ⁽¹⁾	11.2%	11.4%	10.7%	11.5%	10.4%	9.5%	10.1%	10.1%
Share of profit (loss) from investment in joint ventures	410	344	924	846	210	(126)	107	431
Net earnings	30,850	40,732	25,579	24,119	31,927	15,031	19,928	16,295
per basic share (\$)	0.323	0.427	0.291	0.285	0.378	0.178	0.236	0.194
per diluted share (\$)	0.319	0.422	0.286	0.281	0.373	0.176	0.232	0.187
AFFO ⁽¹⁾	36,457	32,746	29,551	29,535	24,776	19,807	28,977	23,125
per basic share (\$)	0.382	0.343	0.337	0.349	0.293	0.235	0.344	0.274
per diluted share (\$)	0.377	0.339	0.331	0.345	0.290	0.232	0.318	0.253
Maintenance capex (including 15% share of joint ventures)	6,480	2,771	10,274	5,604	5,158	2,709	5,270	4,093
Cash dividends declared	12,565	12,116	11,008	10,561	10,561	10,198	10,016	10,016
per share (\$)	0.1323	0.1281	0.1260	0.1260	0.1260	0.1220	0.1200	0.1200
Weighted Average Number of Shares (000's)								
Basic	95,638	95,371	88,005	84,626	84,599	84,345	84,269	84,237
Diluted	96,625	96,600	89,396	85,716	85,555	85,468	94,079	95,556

There are a number of factors affecting the trend of the Company's quarterly results.

With respect to the core operations, while year-over-year quarterly comparisons will generally remain comparable, sequential quarters can vary materially for seasonal and other reasons. The significant factors that impact the results from period to period, are as follows:

- Ontario long-term care funding tied to flow-through funding envelopes requires revenue be deferred until it is matched with the related costs for resident care in the periods in which the costs are incurred, resulting in a fluctuation in revenue and operating expenses by quarter, with both generally being at their lowest in Q1 and at their highest in Q4;
- Ontario long-term care providers generally receive annual flow-through funding increases and case mix index adjustments effective April 1st and increases in preferred accommodation premiums effective July 1st; Alberta long-term care providers generally receive annual rate increases and acuity-based funding adjustments on April 1st and accommodation funding increases effective July 1st, and changes in home health care bill rates for Ontario and Alberta government contracts generally take effect April 1st;
- salary and wage increases for non-unionized staff are generally implemented on January 1st, with increases for unionized staff occurring throughout the year based on agreements in effect;
- home health care volumes are impacted by seasonal patterns with volumes in the summer months generally lower, impacting Q3 volumes; also, statutory holidays vary between quarters which can have an impact on the comparability of sequential quarterly NOI and NOI margins;
- maintenance capex spending, which impacts AFFO, fluctuates on a quarterly basis with the timing of projects and seasonality and is generally at its lowest in Q1 and its highest in Q4;
- utility costs are generally at their highest in Q1 and their lowest in Q2 and Q3; and
- certain line items that are reported separately due to their transitional nature that would otherwise distort the comparability of the historical trends, being "other income or expense" and "fair value adjustments".

Reconciliations of Adjusted EBITDA and Net Operating Income

The following table provides a reconciliation of "earnings before income taxes" to Adjusted EBITDA and "net operating income". Refer to the discussion under "Non-GAAP Measures".

(thousands of dollars)	2026			2025					2024	
	Q2	Q1	YTD Q2	Q4	Q3	Q2	Q1	YTD Q2	Q4	Q3
Earnings before income taxes	38,008	49,370	87,378	35,393	34,379	41,412	18,919	60,331	26,719	22,657
Add (Deduct):										
Depreciation and amortization	16,095	10,100	26,195	10,272	9,918	8,480	8,273	16,753	8,497	8,635
Net finance costs	15,845	1,204	17,049	1,991	5,300	2,013	5,118	7,131	4,336	4,164
Other (income) expense	(1,210)	(7,472)	(8,682)	2,720	2,020	(11,910)	3,170	(8,740)	254	1,082
Share of (profit) loss from investment in joint ventures	(410)	(344)	(754)	(924)	(846)	(210)	126	(84)	(107)	(431)
Adjusted EBITDA	68,328	52,858	121,186	49,452	50,771	39,785	35,606	75,391	39,699	36,107
Administrative costs	17,855	16,166	34,021	16,284	15,131	15,187	14,622	29,809	14,123	14,010
Net operating income	86,183	69,024	155,207	65,736	65,902	54,972	50,228	105,200	53,822	50,117

STATEMENT OF EARNINGS

The following provides the consolidated statement of earnings for the periods ended June 30, 2026 and 2025.

(thousands of dollars unless otherwise noted)	Three months ended June 30,			Six months ended June 30,		
	2026	2025	Change	2026	2025	Change
Revenue	611,040	383,445	227,595	1,076,264	758,099	318,165
Operating expenses	524,857	328,473	196,384	921,057	652,899	268,158
Net operating income⁽¹⁾	86,183	54,972	31,211	155,207	105,200	50,007
Administrative costs	17,855	15,187	2,668	34,021	29,809	4,212
Adjusted EBITDA⁽¹⁾	68,328	39,785	28,543	121,186	75,391	45,795
Depreciation and amortization	16,095	8,480	7,615	26,195	16,753	9,442
Other income	(1,210)	(11,910)	10,700	(8,682)	(8,740)	58
Share of profit from investment in joint ventures	(410)	(210)	(200)	(754)	(84)	(670)
Earnings before net finance costs and income taxes	53,853	43,425	10,428	104,427	67,462	36,965
Interest expense (net of capitalized interest)	8,580	4,304	4,276	13,597	8,518	5,079
Interest revenue	(789)	(1,358)	569	(3,726)	(2,735)	(991)
Accretion	(59)	76	(135)	—	661	(661)
Interest and costs on early repayment of long-term debt	8,113	—	8,113	8,113	—	8,113
Fair value adjustments	—	(1,009)	1,009	(935)	687	(1,622)
Net finance costs	15,845	2,013	13,832	17,049	7,131	9,918
Earnings before income taxes	38,008	41,412	(3,404)	87,378	60,331	27,047
Current income tax expense	9,906	9,171	735	16,669	15,500	1,169
Deferred income tax expense (recovery)	(2,748)	314	(3,062)	(873)	(2,127)	1,254
Total income tax expense	7,158	9,485	(2,327)	15,796	13,373	2,423
Net earnings	30,850	31,927	(1,077)	71,582	46,958	24,624
Net earnings	30,850	31,927	(1,077)	71,582	46,958	24,624
Add (Deduct)⁽ⁱ⁾:						
Fair value adjustments	—	(742)	742	(687)	505	(1,192)
Other income	(459)	(10,468)	10,009	(8,137)	(8,141)	4
Interest and costs on early repayment of long-term debt	5,963	—	5,963	5,963	—	5,963
Earnings before separately reported items, net of taxes⁽¹⁾	36,354	20,717	15,637	68,721	39,322	29,399

(i) The separately reported items being added to or deducted from earnings are net of income taxes.

2026 SECOND QUARTER FINANCIAL REVIEW

The following is an analysis of the consolidated results from operations for Q2 2026, as compared to Q2 2025. The comparability of the results is impacted by, among other things, the acquisition of nine Class C LTC homes in June 2025 (the "LTC Acquisition"), the acquisition of Closing the Gap in July 2025 and the acquisition of CBI Home Health in April 2026 (refer to "Significant Developments – Acquired CBI Home health for \$570 Million").

Revenue

Revenue of \$611.0 million increased by \$227.6 million or 59.4% from \$383.4 million in Q2 2025. The increase in revenue was primarily driven by a 132.6% increase in home health care ADV resulting from the acquisitions of CBI Home Health and Closing the Gap, as well as organic growth. During Q2 2026, CBI Home Health contributed revenue of approximately \$145.7 million. Additional contributions came from the LTC Acquisition and LTC funding enhancements, partially offset by the closure of a Class C LTC home in connection with the opening of a new LTC home in Axiom JV II.

Operating Expenses

Operating expenses of \$524.9 million increased by \$196.4 million or 59.8% from Q2 2025, largely driven by higher costs associated with the acquisitions, organic growth in home health care volumes, increased hours of care in LTC and labour rate increases, partially offset by the closure of a Class C LTC home that was redeveloped in Axiom JV II.

Net Operating Income

Net operating income increased by \$31.2 million or 56.8% to \$86.2 million (14.1% of revenue) from \$55.0 million (14.3% of revenue) in Q2 2025. The 56.8% increase in NOI reflects a 132.6% increase in home health care ADV, driven by the home health care acquisitions and organic growth, as well as the LTC Acquisition and LTC funding enhancements, partially offset by higher operating costs and the closure of a Class C LTC home that was replaced by a redeveloped home in Axiom JV II. During Q2 2026, CBI Home Health contributed NOI of approximately \$19.5 million.

Administrative Costs

Administrative costs increased by \$2.7 million to \$17.9 million in Q2 2026, primarily due to higher wages, benefits, technology costs, lease costs and professional fees, in part due to the home health care acquisitions.

Adjusted EBITDA

Adjusted EBITDA increased by \$28.5 million or 71.7% to \$68.3 million (11.2% of revenue) from \$39.8 million (10.4% of revenue) in Q2 2025, reflecting the increase in NOI, partially offset by higher administrative costs.

Depreciation and Amortization

Depreciation and amortization costs increased by \$7.6 million to \$16.1 million primarily due to the amortization of customer relationship intangible assets associated with the acquisitions of CBI Home Health and Closing the Gap and depreciation in connection with the additional homes from the LTC Acquisition.

Other Income

Other income was \$1.2 million in Q2 2026, reflecting a gain on sale of assets to Axiom JV of \$8.9 million, partially offset by transaction-related professional fees and integration costs of \$7.7 million. Other income of \$11.9 million in Q2 2025 related to a gain on sale of assets to Axiom JV of \$12.5 million, partially offset by acquisition-related transaction costs of \$0.6 million. Refer to *Note 11* of the consolidated financial statements.

Share of Profit From Investment in Joint Ventures

Share of profit from joint ventures was \$0.4 million in Q2 2026, compared to \$0.2 million in Q2 2025. The increase is primarily due to the opening of a new LTC home, partially offset by a \$0.2 million unfavourable change in the fair value of interest rate swaps. Refer to *Note 6* of the consolidated financial statements.

Net Finance Costs

Net finance costs increased by \$13.8 million in Q2 2026. Excluding the write-off of \$8.1 million in deferred financing costs and break fees related to the early repayment of long-term debt, net finance costs increased by \$5.7 million, primarily due to higher interest expense from increased debt balances, lower interest revenue from cash on hand, and a \$1.0 million unfavourable change in the fair value of interest rate swaps.

Income Taxes

The income tax provision of \$7.2 million for Q2 2026 represented an effective tax rate of 18.8%, compared to a tax provision of \$9.5 million and an effective tax rate of 22.9% in Q2 2025. Excluding the impact of separately reported "other income", "fair value adjustments" and "interest and costs on early repayment of long-term debt", the effective tax rate was 19.1% in Q2 2026, compared to 27.3% in Q2 2025. Effective tax rates are also impacted by tax benefits related to payroll withholding taxes recognized upon the settlement of share-based compensation.

Net Earnings

The Company reported net earnings of \$30.9 million (\$0.323 per basic share) compared to \$31.9 million (\$0.378 per basic share) in Q2 2025. Excluding the impact of separately reported items "other income", "fair value adjustments" and "interest and costs on early repayment of long-term debt", net earnings increased by \$15.6 million to \$36.4 million (\$0.381 per basic share) compared to \$20.7 million (\$0.245 per basic share). The increase in net earnings of \$15.6 million was largely driven by the increase in Adjusted EBITDA of \$28.5 million, partially offset by higher depreciation and amortization costs, and higher interest expense.

Summary of Results of Operations by Segment

The following summarizes the Company's segmented "revenue", "operating expenses" and "net operating income", followed by an analysis of the operating performance of each of the Company's operating segments.

Three months ended June 30 <i>(thousands of dollars unless otherwise noted)</i>	Home Health Care	Long-term Care	Managed Services	Total
2026				
Revenue	360,338	233,609	17,093	611,040
Operating expenses	313,684	203,930	7,243	524,857
Net operating income ⁽¹⁾	46,654	29,679	9,850	86,183
NOI margin ⁽¹⁾	12.9%	12.7%	57.6%	14.1%
2025				
Revenue	158,606	207,147	17,692	383,445
Operating expenses	137,188	183,201	8,084	328,473
Net operating income ⁽¹⁾	21,418	23,946	9,608	54,972
NOI margin ⁽¹⁾	13.5%	11.6%	54.3%	14.3%
Change				
Revenue	201,732	26,462	(599)	227,595
Operating expenses	176,496	20,729	(841)	196,384
Net operating income ⁽¹⁾	25,236	5,733	242	31,211

HOME HEALTH CARE OPERATIONS

Revenue from home health care operations increased by \$201.7 million or 127.2% to \$360.3 million in Q2 2026 from \$158.6 million in Q2 2025, primarily due to a 132.6% increase in ADV to 77,478, driven by the acquisitions of Closing the Gap in July 2025 and CBI Home Health in April 2026, as well as organic growth. During Q2 2026, CBI Home Health contributed revenue of approximately \$145.7 million and ADV of 33,609.

Net operating income from home health care operations increased by \$25.2 million to \$46.7 million (12.9% of revenue) in Q2 2026 from \$21.4 million (13.5% of revenue) in Q2 2025, primarily due to a 132.6% increase in volume, driven by acquisitions and organic growth, partially offset by higher wages and benefits. During Q2 2026, CBI Home Health contributed NOI of approximately \$19.5 million. The significant organic growth experienced in the Company's home health care operations has necessitated additional investments in technology and back-office teams to support front-line operations and future growth. These investments, together with the lack of a 2026 bill rate increase in Ontario, contributed to the 60 basis point decline in NOI margin from the prior year period.

LONG-TERM CARE OPERATIONS

Revenue from LTC operations increased by \$26.5 million or 12.8% to \$233.6 million in Q2 2026. The increase was largely driven by approximately \$18.8 million of revenue from homes added through the LTC Acquisition, net of the closure in 2026 of a Class C LTC home that was replaced by a newly opened LTC home in Axiom JV II, in addition to funding increases and improved preferred occupancy.

Net operating income from LTC operations increased by \$5.7 million or 23.9% to \$29.7 million (12.7% of revenue) in Q2 2026 compared to \$23.9 million (11.6% of revenue) in Q2 2025, reflecting approximately \$2.5 million in NOI from the LTC Acquisition, net of the closure of a redeveloped Class C LTC home, funding enhancements and improved preferred occupancy, partially offset by higher operating costs.

MANAGED SERVICES

Revenue from managed services decreased by \$0.6 million or 3.4% to \$17.1 million in Q2 2026 from \$17.7 million in Q2 2025. Net operating income from managed services increased by \$0.2 million or 2.5% to \$9.9 million in Q2 2026 compared to \$9.6 million in Q2 2025, with NOI margins of 57.6% and 54.3%, respectively. The decline in revenue was largely due to Revera's sale of 30 Class C LTC homes in Q2 2025 that had been operated by Extencicare Assist under management contracts, nine of which were acquired by the Company. Despite the decrease in revenue, NOI increased, driven by growth in the number of SGP clients and management fees from a newly opened home in the Joint Ventures.

2026 SIX MONTH FINANCIAL REVIEW

The following is an analysis of the consolidated results from operations for the six months ended June 30, 2026, as compared to 2025. The comparability of the results is impacted by, among other things, the LTC Acquisition in June 2025, the acquisition of Closing the Gap in July 2025 and the acquisition of CBI Home Health in April 2026 (refer to "Significant Developments – Acquired CBI Home health for \$570 Million").

Revenue

Revenue of \$1,076.3 million increased by \$318.2 million or 42.0% from \$758.1 million for the six months ended June 30, 2025. Excluding a reduction in out-of-period funding of \$1.4 million, revenue increased by \$319.6 million or 42.8% to \$1,066.7 million from \$747.1 million. The increase in revenue was primarily driven by an 84.2% increase in home health care ADV resulting from the acquisitions of CBI Home Health and Closing the Gap, as well as organic growth in service volumes. Since its acquisition on April 1, 2026, CBI Home Health has contributed revenue of approximately \$145.7 million. Additional contributions came from the LTC Acquisition and LTC funding enhancements, partially offset by the closure of two Class C LTC homes since the beginning of 2025 in connection with the opening of new LTC homes in the Joint Ventures. The reduction in out-of-period funding of \$1.4 million related to a \$9.3 million change in home health care retroactive funding (\$1.7 million in 2026 compared to \$11.0 million in 2025), partially offset by \$7.9 million of LTC out-of-period funding recognized in 2026.

Operating Expenses

Operating expenses of \$921.1 million increased by \$268.2 million or 41.1% from \$652.9 million for the six months ended June 30, 2025. Excluding a net reduction in out-of-period costs of \$3.5 million, operating expenses increased by \$271.7 million or 41.9% to \$920.2 million from \$648.5 million, largely driven by higher costs associated with the acquisitions, organic growth in home health care volumes, increased hours of care in LTC and labour rate increases, partially offset by the closure of two Class C LTC homes that were redeveloped in the Joint Ventures. The year-over-year impact of out-of-period items of \$3.5 million related to changes in additional compensation for home health care staff supported by retroactive funding of \$10.1 million (\$0.9 million in Q1 2026 compared to \$11.0 million in Q1 2025), partially offset by workers compensation rebates of \$6.6 million recognized in Q1 2025 (\$3.9 million in home health care and \$2.7 million in LTC).

Net Operating Income

Net operating income increased by \$50.0 million or 47.5% to \$155.2 million (14.4% of revenue) for the six months ended June 30, 2026. Excluding a \$2.1 million year-over-year increase in out-of-period items (\$8.7 million in Q1 2026 and \$6.6 million in Q1 2025), NOI increased by \$47.9 million to \$146.5 million (13.7% of revenue) from \$98.6 million (13.2% of revenue) in the prior year period. The 48.6% increase in NOI reflects an 84.2% increase in home health care ADV, driven by the home health care acquisitions and organic growth, as well as the LTC Acquisition and LTC funding enhancements, partially offset by higher operating costs and the closure of two Class C LTC homes since the beginning of 2025 that were replaced by redeveloped homes in the Joint Ventures. Since its acquisition on April 1, 2026, CBI Home Health has contributed NOI of approximately \$19.5 million.

Administrative Costs

Administrative costs increased by \$4.2 million or 14.1% to \$34.0 million for the six months ended June 30, 2026, primarily due to higher wages, benefits, technology costs, lease costs and professional fees, in part due to the home health care acquisitions.

Adjusted EBITDA

Adjusted EBITDA increased by \$45.8 million or 60.7% to \$121.2 million (11.3% of revenue) from \$75.4 million (9.9% of revenue) for the six months ended June 30, 2025, reflecting the increase in NOI, partially offset by higher administrative costs. Excluding the year-over-year increase in NOI of \$2.1 million related to out-of-period items, Adjusted EBITDA increased by \$43.7 million or 63.5% to \$112.5 million (10.5% of revenue) for the six months ended June 30, 2026, from \$68.8 million (9.2% of revenue) in the prior year period.

Depreciation and Amortization

Depreciation and amortization costs increased by \$9.4 million to \$26.2 million for the six months ended June 30, 2026, primarily due to the amortization of customer relationship intangible assets associated with the acquisitions of CBI Home Health and Closing the Gap and depreciation in connection with the additional homes from the LTC Acquisition.

Other Income

Other income of \$8.7 million for the six months ended June 30, 2026 related to a gain on sale of assets to Axiom JV of \$8.9 million and a gain on sale of a vacated Class C LTC property of \$10.0 million, partially offset by transaction-related professional fees and integration costs of \$10.3 million. Other income of \$8.7 million for the six months ended June 30, 2025 related to a gain on the sale of assets to Axiom JV of \$12.5 million, partially offset by strategic transformation costs of \$3.2 million in connection with the Revera and Axiom transactions executed in 2023 and acquisition-related transaction costs of \$0.6 million. Refer to *Note 11* of the consolidated financial statements.

Share of Profit From Investment in Joint Ventures

Share of profit from joint ventures was \$0.8 million for the six months ended June 30, 2026, compared to \$0.1 million in the prior year period. The increase of \$0.7 million largely related to the opening of two new LTC homes since the beginning of 2025 and LTC funding enhancements. Refer to *Note 6* of the consolidated financial statements.

Net Finance Costs

Net finance costs increased by \$9.9 million for the six months ended June 30, 2026. Excluding the write-off of \$8.1 million in deferred financing costs and break fees related to the early repayment of long-term debt, net finance costs increased by \$1.8 million, primarily due to higher interest expense from increased debt balances, partially offset by higher interest revenue from increased levels of cash on hand and a \$1.6 million favourable change in the fair value of interest rate swaps.

Income Taxes

The income tax provision of \$15.8 million for the six months ended June 30, 2026, represented an effective tax rate of 18.1%, compared to a tax provision of \$13.4 million and an effective tax rate of 22.2% for the six months ended June 30, 2025. Excluding the impact of separately reported "other income", which included capital gains largely sheltered by capital losses that had not been tax benefited, "fair value adjustments" and "interest and costs on early repayment of long-term debt", the effective tax rate was 20.0% for the six months ended June 30, 2026, compared to 24.8% for the same 2025 period. Effective tax rates are also impacted by tax benefits related to payroll withholding taxes recognized upon the settlement of share-based compensation.

Net Earnings

The Company reported net earnings of \$71.6 million (\$0.750 per basic share) for the six months ended June 30, 2026, compared to \$47.0 million (\$0.556 per basic share) for the prior year period. Excluding the impact of separately reported items "other income", "fair value adjustments" and "interest and costs on early repayment of long-term debt", net earnings increased by \$29.4 million to \$68.7 million (\$0.720 per basic share) compared to \$39.3 million (\$0.466 per basic share). The increase in net earnings of \$29.4 million was largely driven by the increase in Adjusted EBITDA of \$45.8 million, partially offset by higher depreciation and amortization costs, and higher interest expense.

Summary of Results of Operations by Segment

The following summarizes the Company's segmented "revenue", "operating expenses" and "net operating income", followed by an analysis of the operating performance of each of the Company's operating segments.

Six months ended June 30 <i>(thousands of dollars unless otherwise noted)</i>	Home Health Care	Long-term Care	Managed Services	Total
2026				
Revenue	565,773	477,156	33,335	1,076,264
Operating expenses	491,183	415,260	14,614	921,057
Net operating income ⁽¹⁾	74,590	61,896	18,721	155,207
<i>NOI margin⁽¹⁾</i>	<i>13.2%</i>	<i>13.0%</i>	<i>56.2%</i>	<i>14.4%</i>
2025				
Revenue	316,864	404,900	36,335	758,099
Operating expenses	276,380	359,754	16,765	652,899
Net operating income ⁽¹⁾	40,484	45,146	19,570	105,200
<i>NOI margin⁽¹⁾</i>	<i>12.8%</i>	<i>11.1%</i>	<i>53.9%</i>	<i>13.9%</i>
Change				
Revenue	248,909	72,256	(3,000)	318,165
Operating expenses	214,803	55,506	(2,151)	268,158
Net operating income ⁽¹⁾	34,106	16,750	(849)	50,007

HOME HEALTH CARE OPERATIONS

Revenue from home health care operations increased by \$248.9 million or 78.6% to \$565.8 million for the six months ended June 30, 2026, from \$316.9 million in the prior year period. Excluding a year-over-year decrease of \$9.3 million related to retroactive funding, revenue increased by \$258.2 million or 84.4% to \$564.1 million for the six months ended June 30, 2026 from \$305.9 million in the prior year period. This increase in revenue was largely driven by an 84.2% increase in ADV, driven by the acquisitions of Closing the Gap in July 2025 and CBI Home Health in April 2026, as well as organic growth. Since its acquisition on April 1, 2026, CBI Home Health has contributed revenue of approximately \$145.7 million. The reduction in retroactive funding of \$9.3 million (\$1.7 million in Q1 2026 compared to \$11.0 million in Q1 2025) largely related to changes in the recovery of increased wages and benefits and operating and technology costs.

Net operating income from home health care operations increased by \$34.1 million to \$74.6 million (13.2% of revenue) for the six months ended June 30, 2026, from \$40.5 million (12.8% of revenue) in the prior year period. Excluding a year-over-year decrease of \$3.1 million related to out-of-period items, NOI increased by \$37.2 million to \$73.8 million (13.1% of revenue) for the six months ended June 30, 2026 from \$36.6 million (12.0% of revenue) in the prior year period, primarily due to an 84.2% increase in volume, driven by acquisitions and organic growth, partially offset by increased wages and benefits. Since its acquisition on April 1, 2026, CBI Home Health has contributed NOI of approximately \$19.5 million.

LONG-TERM CARE OPERATIONS

Revenue from LTC operations increased by \$72.3 million or 17.8% to \$477.2 million for the six months ended June 30, 2026. Excluding out-of-period funding recognized in Q1 2026 of \$7.9 million, revenue increased by \$64.4 million, largely driven by approximately \$51.3 million from homes related to the LTC Acquisition, net of the closure in 2026 of a Class C LTC home redeveloped in Axiom JV II, funding increases and improved preferred occupancy, partially offset by the closure in 2025 of a Class C LTC home redeveloped in Axiom JV.

Net operating income from LTC operations increased by \$16.8 million or 37.1% to \$61.9 million (13.0% of revenue) for the six months ended June 30, 2026, compared to \$45.1 million (11.1% of revenue) in the prior year period. Excluding the impact of out-of-period items of \$5.2 million, NOI improved by \$11.6 million or 27.2% to \$54.0 million (11.5% of revenue) for the six months ended June 30, 2026, from \$42.4 million (10.5% of revenue) in the prior year period, reflecting approximately \$6.0 million in NOI from the LTC Acquisition, net of the closure in 2026 of a Class C LTC home redeveloped in Axiom JV II, funding enhancements and improved preferred occupancy, partially offset by higher operating costs and the closure in 2025 of a Class C LTC home redeveloped in Axiom JV.

MANAGED SERVICES

Revenue from managed services decreased by \$3.0 million or 8.3% to \$33.3 million for the six months ended June 30, 2026. Net operating income from managed services decreased by \$0.8 million or 4.3% to \$18.7 million for the six months ended June 30, 2026 compared to the prior year period, with NOI margins of 56.2% and 53.9%, respectively. The declines in revenue and NOI were largely due Revera's sale of 30 Class C LTC homes in Q2 2025 that had been operated by Extendicare Assist under management contracts, nine of which were acquired by the Company, partially offset by growth in SGP clients, management fees from newly opened homes in the Joint Ventures and changes in mix of Extendicare Assist services.

FUNDS FROM OPERATIONS AND ADJUSTED FUNDS FROM OPERATIONS

Reconciliations of FFO to Net Earnings

The following table provides a reconciliation of “net earnings” to FFO, which the Company believes is the most comparable GAAP measure to FFO. In addition, the table includes a reconciliation from FFO to AFFO as supplemental information. Refer to the discussion under “Non-GAAP Measures”.

(thousands of dollars unless otherwise noted)	Three months ended June 30,			Six months ended June 30,		
	2026	2025	Change	2026	2025	Change
Net earnings	30,850	31,927	(1,077)	71,582	46,958	24,624
Add (Deduct):						
Depreciation and amortization	16,095	8,480	7,615	26,195	16,753	9,442
Depreciation for FFEC (maintenance capex)	(2,754)	(1,939)	(815)	(5,054)	(3,827)	(1,227)
Depreciation for office leases	(2,029)	(756)	(1,273)	(2,812)	(1,488)	(1,324)
Other income	(1,210)	(11,910)	10,700	(8,682)	(8,740)	58
Interest and costs on early repayment of long-term debt	8,113	—	8,113	8,113	—	8,113
Fair value adjustments	—	(1,009)	1,009	(935)	687	(1,622)
Current income tax expense (recovery) on other expense (income) and fair value adjustments	(1,407)	(102)	(1,305)	(1,815)	(945)	(870)
Deferred income tax expense (recovery)	(2,748)	314	(3,062)	(873)	(2,127)	1,254
FFO adjustments for joint ventures ⁽ⁱ⁾	675	426	249	1,139	1,113	26
FFO	45,585	25,431	20,154	86,858	48,384	38,474
Amortization of deferred financing costs	455	314	141	783	603	180
Accretion costs	(59)	76	(135)	—	661	(661)
Non-cash share-based compensation	(6,560)	1,418	(7,978)	(15,728)	(2,494)	(13,234)
Principal portion of government capital funding	421	405	16	838	808	30
Additional maintenance capex	(3,592)	(3,030)	(562)	(3,825)	(3,727)	(98)
AFFO adjustments for joint ventures ⁽ⁱ⁾	207	162	45	277	348	(71)
AFFO	36,457	24,776	11,681	69,203	44,583	24,620
Per Basic Share (\$)						
FFO	0.476	0.301	0.175	0.909	0.573	0.336
AFFO	0.382	0.293	0.089	0.725	0.528	0.197
Per Diluted Share (\$)						
FFO	0.472	0.297	0.175	0.899	0.565	0.334
AFFO	0.377	0.290	0.087	0.716	0.521	0.195
Dividends						
Declared	12,565	10,561	2,004	24,681	20,759	3,922
Declared per share (\$)	0.1323	0.1260	0.0063	0.2604	0.2480	0.0124
Weighted Average Number of Shares						
Basic (000's)	95,638	84,599		95,505	84,472	
Diluted (000's)	96,625	85,555		96,665	85,614	
Current income tax expense included in FFO	11,313	9,273	2,040	18,484	16,445	2,039
FFO effective tax rate	19.9%	26.7%		17.5%	25.4%	

(i) Refer to the additional information provided under “FFO and AFFO Adjustments for Joint Ventures”.

Reconciliations of AFFO to Net Cash From Operating Activities

The following table provides a reconciliation of AFFO to “net cash from operating activities”, which the Company believes is the most comparable GAAP measure to AFFO. Refer to the discussion under “Non-GAAP Measures”.

(thousands of dollars)	Three months ended June 30,			Six months ended June 30,		
	2026	2025	Change	2026	2025	Change
Net cash from operating activities	59,277	52,936	6,341	54,533	71,357	(16,824)
Add (Deduct):						
Net change in operating assets and liabilities, including interest and taxes	(22,467)	(24,149)	1,682	14,901	(22,923)	37,824
Other expense	7,716	613	7,103	10,267	3,783	6,484
Current income tax on items excluded from AFFO	(1,407)	(102)	(1,305)	(1,815)	(945)	(870)
Depreciation for office leases	(2,029)	(756)	(1,273)	(2,812)	(1,488)	(1,324)
Depreciation for FFEC (maintenance capex) ⁽ⁱ⁾	(2,754)	(1,939)	(815)	(5,054)	(3,827)	(1,227)
Additional maintenance capex ⁽ⁱ⁾	(3,592)	(3,030)	(562)	(3,825)	(3,727)	(98)
Principal portion of government capital funding	421	405	16	838	808	30
AFFO for joint ventures ⁽ⁱⁱ⁾	1,292	798	494	2,170	1,545	625
AFFO	36,457	24,776	11,681	69,203	44,583	24,620
Total maintenance capex⁽ⁱ⁾	6,480	5,158	1,322	9,251	7,867	1,384

(i) Total maintenance capex represents the aggregate of the items classified as “depreciation for FFEC” and “additional maintenance capex”, and includes \$0.1 million and \$0.4 million in respect of the Company’s 15% managed interest in the Joint Ventures for the three and six months ended June 30, 2026, respectively. An amount equivalent to depreciation for FFEC, or furniture, fixtures, equipment and computers, is deducted in determining FFO, and the difference from the actual total maintenance capex incurred is adjusted for in determining AFFO.

(ii) Refer to the additional information provided under “FFO and AFFO Adjustments for Joint Ventures”.

AFFO 2026 Second Quarter Financial Review

In Q2 2026, AFFO increased by \$11.7 million to \$36.5 million (\$0.382 per basic share) from \$24.8 million (\$0.293 per basic share) in Q2 2025, largely reflecting the improvement in Adjusted EBITDA, partially offset by an unfavourable change in the adjustment for non-cash share-based compensation, higher net interest costs, increased current income taxes and higher maintenance capex, in part due to the LTC Acquisition. Excluding the impact of payroll withholding taxes of \$8.7 million (\$6.4 million net of tax) on the settlement of deferred share units held by two longstanding directors who retired from the Board recognized in Q2 2026, AFFO improved by \$18.1 million to \$42.9 million (\$0.448 per basic share) from \$24.8 million (\$0.293 per basic share) in the prior year period.

A discussion of the factors impacting net earnings and Adjusted EBITDA can be found under “2026 Second Quarter Financial Review”.

AFFO 2026 Six Month Financial Review

For the six months ended June 30, 2026, AFFO increased by \$24.6 million to \$69.2 million (\$0.725 per basic share) from \$44.6 million (\$0.528 per basic share) in the prior year period, largely reflecting the improvement in Adjusted EBITDA, partially offset by an unfavourable change in the adjustment for non-cash share-based compensation, higher net interest costs, increased current income taxes and higher maintenance capex, in part due to the LTC Acquisition. Excluding a \$1.5 million year-over-year increase in AFFO from out-of-period items (\$6.4 million after tax in Q1 2026 and \$4.9 million after tax in Q1 2025) and the unfavourable impact of the deferred share unit settlement of \$6.4 million net of tax in Q2 2026, AFFO improved by \$29.5 million to \$69.2 million (\$0.725 per basic share) from \$39.7 million (\$0.470 per basic share) in the prior year period.

A discussion of the factors impacting net earnings and Adjusted EBITDA can be found under “2026 Six Month Financial Review”.

Dividends declared as a percentage of AFFO for the six months ended June 30, 2026 represented a payout ratio of 36%. The Company increased its monthly dividend by 5% to \$0.0441 per share, effective with the dividend declared in March 2026. Refer to the discussions under “Significant Developments – Dividend Increase” and “Liquidity and Capital Resources”.

The current income tax expense included in AFFO was \$18.5 million for the six months ended June 30, 2026, compared to \$16.4 million in the prior year period, representing effective tax rates on FFO of 17.5% and 25.4%, respectively. The determination of FFO includes a deduction for current income tax expense and does not include deferred income tax expense. As a result, the effective tax rates on FFO can be impacted by: adjustments to estimates of annual deferred timing differences, particularly when dealing with cash-based tax items versus accounting accruals; changes in the proportion of earnings between taxable and non-taxable entities; book-to-file adjustments for prior year filings; and the ability to utilize loss carryforwards. For 2026, the Company expects the effective tax rate on FFO will be in the range of 19% to 22%.

Including the Company's 15% managed interest in joint ventures, maintenance capex was \$6.5 million for Q2 2026 compared to \$5.2 million for Q2 2025 and \$2.8 million for Q1 2026, representing 1.0%, 1.3% and 0.6% of revenue, respectively. For the six months ended June 30, 2026, maintenance capex was \$9.3 million compared to \$7.9 million in the prior year period, representing 0.8% and 1.0% of revenue, respectively. These costs fluctuate on a quarterly and annual basis with the timing of projects and seasonality. The Company expects to spend in the range of \$20.0 to \$22.0 million in maintenance capex in 2026, including approximately \$1.6 million in connection with the Company's 15% managed interest in joint ventures.

The following provides a reconciliation of "Adjusted EBITDA" to AFFO as supplemental information. Refer to the discussion under "Non-GAAP Measures".

(thousands of dollars)	Three months ended June 30,			Six months ended June 30,		
	2026	2025	Change	2026	2025	Change
Adjusted EBITDA	68,328	39,785	28,543	121,186	75,391	45,795
Add (Deduct):						
Depreciation for FFEC (maintenance capex)	(2,754)	(1,939)	(815)	(5,054)	(3,827)	(1,227)
Depreciation for office leases	(2,029)	(756)	(1,273)	(2,812)	(1,488)	(1,324)
Accretion costs	59	(76)	135	—	(661)	661
Interest expense	(8,580)	(4,304)	(4,276)	(13,597)	(8,518)	(5,079)
Interest revenue	789	1,358	(569)	3,726	2,735	991
FFO for joint ventures	1,085	636	449	1,893	1,197	696
	56,898	34,704	22,194	105,342	64,829	40,513
Current income tax expense	11,313	9,273	2,040	18,484	16,445	2,039
FFO	45,585	25,431	20,154	86,858	48,384	38,474
Amortization of deferred financing costs	455	314	141	783	603	180
Accretion costs	(59)	76	(135)	—	661	(661)
Non-cash share-based compensation	(6,560)	1,418	(7,978)	(15,728)	(2,494)	(13,234)
Principal portion of government capital funding	421	405	16	838	808	30
Additional maintenance capex	(3,592)	(3,030)	(562)	(3,825)	(3,727)	(98)
AFFO adjustments for joint ventures	207	162	45	277	348	(71)
AFFO	36,457	24,776	11,681	69,203	44,583	24,620

FFO and AFFO Adjustments for Joint Ventures

The following tables provide additional information in respect of the adjustments to FFO and AFFO for joint ventures. Refer to the discussion under "Non-GAAP Measures".

(thousands of dollars)	Three months ended June 30,			Six months ended June 30,		
	2026	2025	Change	2026	2025	Change
Share of profit from investment in joint ventures	410	210	200	754	84	670
Depreciation and amortization	670	675	(5)	1,365	1,348	17
Depreciation for FFEC (maintenance capex)	(141)	(153)	12	(277)	(289)	12
Fair value adjustments	146	(96)	242	51	54	(3)
FFO adjustments for joint ventures	675	426	249	1,139	1,113	26
Amortization of deferred financing costs	9	45	(36)	21	84	(63)
Principal portion of government capital funding	191	153	38	351	288	63
Additional maintenance capex	7	(36)	43	(95)	(24)	(71)
AFFO adjustments for joint ventures	207	162	45	277	348	(71)
AFFO for joint ventures	1,292	798	494	2,170	1,545	625

(thousands of dollars)	Three months ended June 30,			Six months ended June 30,		
	2026	2025	Change	2026	2025	Change
Adjusted EBITDA	1,707	1,296	411	3,092	2,503	589
Depreciation for FFEC (maintenance capex)	(141)	(153)	12	(277)	(289)	12
Interest expense	(798)	(762)	(36)	(1,489)	(1,497)	8
Interest revenue	317	255	62	567	480	87
FFO for joint ventures	1,085	636	449	1,893	1,197	696
Amortization of deferred financing costs	9	45	(36)	21	84	(63)
Principal portion of government capital funding	191	153	38	351	288	63
Additional maintenance capex	7	(36)	43	(95)	(24)	(71)
AFFO for joint ventures	1,292	798	494	2,170	1,545	625
Total maintenance capex for joint ventures	134	189	(55)	372	313	59

LIQUIDITY AND CAPITAL RESOURCES

Sources and Uses of Cash

The following summarizes the sources and uses of cash for the six months ended June 30, 2026 and 2025.

(thousands of dollars)	Six months ended June 30,	
	2026	2025
Net cash from operating activities	54,533	71,357
Net cash used in investing activities	(571,146)	(88,642)
Net cash from (used in) financing activities	262,142	(31,946)
Decrease in cash and cash equivalents	(254,471)	(49,231)

As at June 30, 2026, the Company had cash and cash equivalents on hand of \$93.5 million, reflecting a decline in cash of \$254.5 million from the beginning of the year. Cash flow from operating activities of \$54.5 million for the six months ended June 30, 2026 was in excess of cash dividends paid of \$24.5 million.

Net cash from operating activities was \$54.5 million for the six months ended June 30, 2026, down \$16.8 million from \$71.4 million in the prior year period, reflecting the increase in earnings, partially offset by unfavourable changes in operating assets and liabilities between periods. Fluctuations in operating assets and liabilities between periods are primarily attributable to the volatility and timing of cash receipts related to funding changes and flow-through funding, and the timing of payroll cycles.

Net cash used in investing activities was \$571.1 million for the six months ended June 30, 2026 compared to \$88.6 million in the prior year period. The 2026 activity included the CBI Acquisition for \$571.6 million, purchases of property, equipment and other intangible assets of \$17.9 million and investments in the Joint Ventures of \$7.5 million. This was partially offset by net proceeds of \$21.3 million from the sale of a redevelopment project to Axium JV and \$3.0 million, net of a vendor take-back mortgage, from the sale of the vacated West End Villa Class C property, the collection of other assets of \$0.8 million and distributions from investments in the Joint Ventures of \$0.7 million. The 2025 activity included an increase in restricted cash of \$75.1 million in connection with the acquisition of Closing the Gap, \$41.9 million in connection with the LTC Acquisition, purchases of property, equipment and other intangible assets of \$29.3 million, and investments in the Joint Ventures of \$1.1 million. This was partially offset by proceeds of \$57.4 million from the sale of three redevelopment projects to Axium JV, the collection of other assets of \$0.8 million and distributions from investments in the Joint Ventures of \$0.6 million.

The table that follows summarizes the additions to property, equipment and other intangibles, allocated between growth and maintenance capex. Growth capex relates to LTC redevelopment projects, building improvements, investments in key IT platforms, and other capital projects, all of which are aimed at earnings growth. Maintenance capex relates to the capital additions incurred to sustain and upgrade existing property and equipment.

(thousands of dollars)	Six months ended June 30,	
	2026	2025
Growth capex	9,053	17,537
Maintenance capex	8,879	7,554
	17,932	25,091

Management monitors and prioritizes capital expenditure requirements throughout the year, taking into account the urgency and necessity of the expenditure. Growth capex in 2026 will be focused primarily on the LTC projects under construction, redevelopment activities, including acquisition of land, and continued investments in technology to support growth initiatives (refer to "Other Contractual Obligations and Contingencies – Commitments"). The level of future growth capex will primarily be impacted by the timing of redevelopment projects advancing to construction, which is dependent on the Capital Funding

Program in Ontario, any potential redevelopment programs that are introduced in Alberta and Manitoba, and whether such projects are sold to Axiom JV.

Net cash from (used in) financing activities was a source of cash of \$262.1 million for the six months ended June 30, 2026 compared to a use of cash of \$31.9 million in the prior year period. The 2026 activity included proceeds of \$450.0 million from the issuance of the 2031 Notes, a \$308.2 million draw on the former senior secured credit facility and a \$50.0 million draw on the Unsecured Revolving Facility, partially offset by the early repayments of the \$327.7 million delayed draw term loan and \$71.9 million of mortgage debt, and a \$100.0 million reduction in the former secured revolving credit facility, cash dividends paid of \$24.5 million and regular debt and lease liability repayments of \$11.3 million. The 2025 activity included cash dividends paid of \$20.6 million and debt and lease liability repayments of \$10.4 million.

Capital Structure

SHAREHOLDERS' EQUITY

Total shareholders' equity as at June 30, 2026, was \$404.8 million as compared to \$373.4 million at December 31, 2025, reflecting contributions from net earnings and comprehensive income, partially offset by dividends declared of \$24.7 million and a net charge of \$15.7 million resulting from the settlement of awards under the Company's equity-based compensation plan.

As at June 30, 2026, the Company had 95,046,399 Common Shares issued and outstanding (carrying value – \$663.3 million), as compared to 94,457,909 Common Shares (carrying value – \$662.9 million) as at December 31, 2025, reflecting 588,490 Common Shares issued under the Company's equity-based compensation plan.

Share Information (000's)	August 5, 2026	June 30, 2026	December 31, 2025
Common Shares (TSX symbol: EXE) ⁽ⁱ⁾	95,046.4	95,046.4	94,457.9

(i) Closing market value per TSX on August 5, 2026, was \$34.91.

As at August 6, 2026, the Company had an aggregate of 2,636,527 Common Shares reserved and available for issuance pursuant to the Company's long-term incentive plan, of which there were in aggregate 1,605,583 performance share units and deferred share units outstanding as at June 30, 2026 (refer to *Note 8* of the consolidated financial statements).

Dividends

The Company declared cash dividends of \$0.2604 per share for the six months ended June 30, 2026, compared with \$0.2480 per share in the same prior year period, representing \$24.7 million and \$20.8 million in each period, respectively. During 2026, the Company increased its monthly dividend by 5% to \$0.0441 per share from \$0.0420 per share, effective with the dividend declared in March 2026.

Normal Course Issuer Bid

The Company did not purchase any Common Shares under its normal course issuer bid, which was effective from July 2, 2025 to July 1, 2026 and authorized the purchase for cancellation of up to 7,281,193 Common Shares pursuant to TSX approval.

Long-term Debt

Long-term debt totalled \$645.7 million as at June 30, 2026, as compared to \$330.2 million as at December 31, 2025, representing an increase of \$315.5 million. The increase largely reflects the issuance of the \$450.0 million 2031 Notes and the assumption of \$17.3 million of lease liabilities in connection with the CBI Acquisition, partially offset by early repayment of \$71.9 million of mortgage debt, a net reduction of \$69.5 million under the credit facilities, and regular debt and lease liability repayments of \$11.3 million. These measures improved the Company's maturity profile and its weighted average cost of debt. The current portion of long-term debt as at June 30, 2026 was \$11.0 million.

The Company is subject to debt service coverage covenants on its \$250.0 million Unsecured Revolving Facility, and certain of its loans and was in compliance with all covenants as at June 30, 2026. Details of the components, maturities dates, terms and conditions of long-term debt are provided in *Note 7* of the consolidated financial statements.

SENIOR UNSECURED NOTES

On April 14, 2026, the Company issued the 2031 Notes, consisting of \$450.0 million aggregate principal amount of 4.345% senior unsecured notes due April 14, 2031. The 2031 Notes have been assigned a BBB rating with a Stable trend by Morningstar DBRS.

For more information on the 2031 Notes, refer to "Significant Developments" and *Note 7* of the consolidated financial statements.

UNSECURED REVOLVING FACILITY

As at June 30, 2026, the Company's Unsecured Revolving Facility consisted of a revolving credit facility of \$250.0 million, of which \$103.7 million was drawn down and \$31.6 million in secured letters of credit, leaving \$114.7 million unutilized. The letters of credit consisted of \$23.2 million to secure the Company's legacy defined benefit pension plan obligations, \$8.2

million to secure the Company's obligation to fund capital contributions to the Joint Ventures in connection with construction of LTC redevelopment projects within the Joint Ventures, and \$0.2 million to secure obligations relating to LTC homes.

The Unsecured Revolving Facility is senior unsecured debt that ranks *pari passu* with the 2031 Notes. Borrowings under the Unsecured Revolving Facility can take place by way of direct borrowings at either the prime rate plus an applicable margin ranging from 0.45% to 1.45%, or the Canadian Overnight Repo Rate Average ("CORRA") plus an applicable margin ranging from 1.45% to 2.45%, or through letters of credit.

Amendments to the Credit Facility

On April 1, 2026, and in connection with the closing of the CBI Acquisition, the Company increased its Senior Secured Credit Facility by \$214.5 million, consisting of a \$60.0 million increase to the revolving credit facility and a \$154.5 million increase to the delayed draw term facility, and extended the term to April 1, 2029, with provisions for consecutive one-year extensions. The Company utilized the full delayed draw term facility and \$153.7 million of the revolving credit facility to partially fund the CBI Acquisition.

On April 14, 2026, following the issuance of the 2031 Notes, the Company used approximately \$427.7 million of the net proceeds to repay the delayed draw term loan in full and the revolving credit facility in part. Concurrent with these debt repayments and the issuance of the 2031 Notes, the Company's senior secured credit facilities were amended and restated to consist of a \$250.0 million Unsecured Revolving Facility, and all security previously granted to the lenders under the former senior secured credit facilities was released.

For more information on the Senior Secured Credit Facility, CBI Acquisition and the 2031 Notes, refer to "Significant Developments" and Notes 3 and 7 of the consolidated financial statements.

LONG-TERM DEBT KEY METRICS

Management has limited the amount of debt that may be subject to changes in interest rates, with no mortgage debt at variable rates. The Company's \$103.7 million borrowing under the Unsecured Revolving Facility as at June 30, 2026 accrues interest at the CORRA plus an applicable margin.

The following summarizes key metrics of consolidated long-term debt as at June 30, 2026, and December 31, 2025.

	June 30, 2026			December 31, 2025		
(thousands of dollars unless otherwise noted)	Before Adjustments for Joint Ventures	Adjustments for Joint Ventures ⁽ⁱⁱ⁾	Adjusted for Joint Ventures	Before Adjustments for Joint Ventures	Adjustments for Joint Ventures ⁽ⁱⁱ⁾	Adjusted for Joint Ventures
Weighted average interest rate of long-term debt outstanding	4.4%		4.6%	5.3%		5.3%
Weighted average term to maturity of long-term debt outstanding	5.1 yrs		7.1 yrs	4.3 yrs		7.4 yrs
Trailing twelve months consolidated interest coverage ratio ⁽ⁱ⁾ (1)	9.3 X		8.0 X	10.0 X		8.1 X
Debt to Gross Book Value ("GBV")						
Total assets (carrying value)	1,556,285	144,955	1,701,240	1,066,515	132,317	1,198,832
Accumulated depreciation on property and equipment	309,275	6,735	316,010	303,949	5,964	309,913
Accumulated amortization on other intangible assets	68,356	1,699	70,055	58,495	1,540	60,035
GBV ⁽ⁱⁱ⁾	1,933,916	153,389	2,087,305	1,428,959	139,821	1,568,780
Debt ⁽ⁱⁱⁱ⁾	682,967	116,990	799,957	372,237	106,968	479,205
Debt to GBV	35.3%		38.3%	26.0%		30.5%
Debt to Adjusted EBITDA^(iv) (1)	2.5 X			2.1 X		

- (i) Consolidated interest coverage ratio of 9.3x for the trailing twelve months ("TTM") ended June 30, 2026, is calculated using estimated pro forma Adjusted EBITDA of \$273.6 million^(iv) and interest expense of \$29.3 million derived from the Company's 4.4% weighted average interest rate of long-term debt outstanding as at June 30, 2026. The calculation adjusted for joint ventures includes the Company's 15% share of the Joint Ventures' Adjusted EBITDA and interest expense of \$7.1 million and \$5.9 million, respectively, the latter of which is inclusive of \$3.1 million of capitalized interest (\$1.7 million for the six months ended June 30, 2026).
- (ii) The adjustments to GBV represent the Company's 15% share of the Joint Ventures' GBV of \$185.4 million less the Company's carrying value in the Joint Ventures of \$32.0 million. The adjustment for debt represents the Company's 15% share of the Joint Ventures' mortgages at carrying amount, excluding deferred financing costs.
- (iii) Debt excludes deferred financing costs and includes letters of credit of \$31.6 million drawn under the Company's Unsecured Revolving Facility.
- (iv) Debt to Adjusted EBITDA of 2.5x as at June 30, 2026, is calculated using estimated pro forma Adjusted EBITDA of \$273.6 million derived from Extencicare's Adjusted EBITDA of \$221.4 million for the TTM ended June 30, 2026, plus \$52.2 million representing nine months of CBI Home Health's standalone Adjusted EBITDA of \$69.6 million for the year ended December 31, 2025. Further details on CBI's standalone Adjusted EBITDA can be found in the Company's Business Acquisition Report on Form 51-102F4 (the "BAR") and associated press release issued on May 12, 2026, as filed on SEDAR+ at www.sedarplus.ca and on the Company's website at www.extencicare.com.

Future Liquidity and Capital Resources

The Company's consolidated cash and cash equivalents on hand, excluding restricted cash, was \$93.5 million as at June 30, 2026, compared with \$347.9 million as at December 31, 2025, representing a decrease of \$254.5 million. In addition, the Company had access to a further \$114.7 million under the revolving facility.

The Company had a working capital deficiency (current liabilities less current assets) of \$94.5 million as at June 30, 2026, including the current portion of long-term debt of \$11.0 million.

Management believes that the current cash and cash equivalents on hand, cash from operating activities, available funds from credit facilities and future debt financings will be sufficient to support the Company's ongoing business operations, including required working capital, maintenance capex and debt repayment obligations and the Company's share of capital requirements, in partnership with Axiom, to support our long-term care redevelopment program. Growth through redevelopment of LTC homes over the next few years, strategic acquisitions and developments may necessitate the raising of funds through debt, equity financings and/or other means. Decisions will be made on a specific transaction basis and will depend on market and economic conditions at the time.

Inflationary impacts on operating costs, changes in interest rates such that capital and credit markets and industry sentiment are adversely affected, ongoing pressures of funding and rate increases not keeping pace with cost increases, health care staffing constraints and the potential for another pandemic, epidemic or outbreak may make it more difficult for the Company to access the necessary capital or credit markets or if able to do so, at a higher cost or less advantageous terms than existing borrowings. In addition, reduced revenue and higher operating costs due to inflationary impacts and rising interest rates may result in reductions or early prepayments of existing financings if covenants are unable to be met (refer to "Risks and Uncertainties").

OTHER CONTRACTUAL OBLIGATIONS AND CONTINGENCIES

Commitments

As at June 30, 2026, the Company had outstanding commitments of \$1.8 million in connection with construction-related contracts for its LTC redevelopment projects. The Company also has outstanding commitments of \$55.7 million in connection with various IT service and license agreements for IT cloud-based applications in support of the Company's growth initiatives (refer to *Note 13* of the consolidated financial statements).

Guarantees

The Company provides unsecured guarantees related to certain credit facilities held by the Joint Ventures; namely, construction loans and letter of credit facilities in support of ongoing construction of joint venture LTC redevelopment projects and term loans and lease-up credit facilities for operating joint venture LTC homes. As at June 30, 2026, 29 LTC homes within the Joint Ventures have existing credit facilities available of up to \$1,005.4 million. The guarantees provided by the Company vary depending upon the project, but are typically either on a joint and several basis for 50% of the loan amount or on a several basis for 15% of the loan amount or some lesser portion thereof. The amount of the guarantees will vary as borrowings increase on projects under construction and reduce as homes become operational, when guarantee requirements are generally lower. As at June 30, 2026, the Company has provided unsecured guarantees of \$389.9 million in support of the credit facilities held by the Joint Ventures (refer to *Note 13* of the consolidated financial statements).

The Joint Ventures are subject to debt service coverage covenants on certain of their respective credit facilities. The Joint Ventures were in compliance with the covenants as at June 30, 2026.

Legal Proceedings and Regulatory Actions

In the ordinary course of business, the Company is involved in and potentially subject to legal proceedings brought against it from time to time in connection with its operations. The COVID-19 pandemic has increased the risk that litigation or other legal proceedings, regardless of merit, will be commenced against the Company.

In April 2021, the Company was served with a statement of claim filed in the Court of Queen's Bench for Saskatchewan alleging negligence, breach of fiduciary duty, breach of contract and breach of the required standard of care by the Company and certain unnamed defendants in respect of all residents of Company LTC homes and retirement communities located in Saskatchewan as well as their family members. The claim seeks an order certifying the action as a class action and unspecified damages.

In January 2022, four active class actions against the Company in Ontario were consolidated into one action pursuant to the *Class Proceedings Act* (Ontario). The consolidated claim is in respect of all Ontario LTC homes owned, operated, licensed and/or managed by the Company and its affiliates and names as defendants the Company, certain of its affiliates and the owners of any such managed LTC homes and alleges negligence, gross negligence, breach of fiduciary duty, breach of contract, unjust enrichment, wrongful death in respect of all persons who contracted COVID-19 at the residence or subsequently contracted COVID-19 from such persons and breach of section 7 of the *Canadian Charter of Rights and Freedoms*. The consolidated claim seeks damages in the aggregate of \$110.0 million. On March 7, 2024, the consolidated claim was certified against the Company in respect of owned and managed homes with a gross negligence cause of action.

The Company is vigorously defending itself against these claims, and these claims are subject to insurance coverage maintained by the Company. However, given the status of the proceedings, the Company is unable to assess their potential outcome and they could have a materially adverse impact on the Company's business, results of operations and financial condition (refer to "Risks and Uncertainties").

In December 2020, the Government of Ontario passed Bill 218, *Supporting Ontario's Recovery Act* (Ontario), which provides targeted liability protection against COVID-19 exposure-related claims against any individual, corporation, or other entity that made a "good faith" or "honest" effort to act in accordance with public health guidance and laws relating to COVID-19 and did not otherwise act with "gross negligence". The protection under Bill 218 is retroactive to March 17, 2020, when Ontario first implemented emergency measures as part of its response to the COVID-19 pandemic. Similar legislation has been passed in other provincial jurisdictions, including Saskatchewan.

In October 2021, the Supreme Court of Canada dismissed an application for leave to appeal by the Attorney General of Ontario which sought to challenge the decision issued by the previous presiding court that ruled in favour of certain unions in respect of a legal challenge to a 2016 Pay Equity Tribunal decision. The unions argued that new pay equity adjustments were required in order to maintain pay equity with municipal LTC homes where PSWs and other direct care workers in other industries are included in determining pay equity. The matter has now been referred back to the Pay Equity Tribunal to settle the matter between the participating LTC homes, unions and the Government and establish a framework for pay equity suitable for the sector. The Company, along with other participants in the LTC sector, including the Government of Ontario, are working to resolve the matter. Given the uncertainty of the matter and the various stakeholders involved, and as a result the wide range of possible settlement outcomes and related funding changes the Company is unable to determine a reliable estimate of the potential outcome and it could have a materially adverse impact on the Company's business, results of operations and financial condition.

ACCOUNTING POLICIES AND ESTIMATES

Critical Accounting Policies and Estimates

A full discussion of the Company's critical accounting policies and estimates was provided in the MD&A and the accompanying notes to the audited consolidated financial statements for the year ended December 31, 2025, contained in the Company's 2025 Annual Report. The disclosures in such report have not materially changed since that report was filed, and to the extent there have been any changes in management's estimates, they are discussed under "Significant Developments".

Future Changes in Accounting Policies

PRESENTATION AND DISCLOSURE IN FINANCIAL STATEMENTS

In April 2024, the IASB published its new standard IFRS 18 *Presentation and Disclosure in Financial Statements*. This standard will replace IAS 1 *Presentation of Financial Statements* and introduce new presentation and disclosure requirements, including updates to the statement of earnings and disclosures relating to performance measures. The new standard will be effective January 1, 2027 onwards. The Company is currently assessing the potential impact of this standard on its consolidated financial statements.

Disclosure Controls and Procedures and Internal Control over Financial Reporting

Management is responsible for establishing and maintaining a system of disclosure controls and procedures ("DC&P") to provide reasonable assurance that all material information relating to the Company is gathered and reported to senior management, including the Chief Executive Officer ("CEO") and Chief Financial Officer ("CFO"), on a timely basis so that appropriate decisions can be made regarding public disclosure.

Management is also responsible for establishing and maintaining adequate internal controls over financial reporting ("ICFR") to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial reports for external purposes in accordance with IFRS.

In designing such controls, it should be recognized that due to inherent limitations, any controls, no matter how well designed and operated, can provide only reasonable assurance of achieving the desired control objectives and may not prevent or detect misstatements. Additionally, management is required to use judgment in evaluating controls and procedures.

Except as noted below, there were no changes in the Company's ICFR during Q2 2026 that have materially affected, or are reasonably likely to materially affect, the Company's ICFR.

In accordance with the provisions of National Instruments 52-109, *Certification of Disclosure in Issuers' Annual and Interim Filings*, management, including the CEO and CFO, have limited the scope of their design of the Company's DC&P and ICFR to exclude controls, policies and procedures of the home health care business acquired on April 1, 2026, referred to as CBI Home Health.

CBI Home Health contributed approximately 23.8% of consolidated revenue and 27.1% of consolidated Adjusted EBITDA in Q2 2026. Additionally, at the time of the acquisition, the assets and liabilities of the acquired operations were approximately 47.0% and 12.7% of consolidated assets and liabilities, respectively. Further details related to the acquisition of CBI Home Health are disclosed under the heading "Significant Developments – Acquired CBI Home Health for \$570 Million" and in Note 3 of the consolidated financial statements.

The scope limitation is primarily based on the time required to assess the DC&P and ICFR of the operations of CBI Home Health in a manner consistent with the Company's other operations. The assessment on the design effectiveness of DC&P and internal controls over financial reporting is anticipated to be completed by the third quarter of 2027 and the assessment of operating effectiveness will be completed by the fourth quarter of 2027.

NON-GAAP MEASURES

Certain measures used in this MD&A listed below, including any related per share amounts, used by management to measure, compare and explain the operating results and financial performance of the Company, are not measures recognized under IFRS and do not have standardized meanings prescribed by IFRS. These measures may differ from similar computations as reported by other issuers and, accordingly, may not be comparable to similarly titled measures as reported by such issuers. These measures should not be considered in isolation or as a substitute for measures of performance prepared in accordance with IFRS. Such measures are presented in this document because management believes that the Non-GAAP financial measures provide a more consistent basis to compare the performance of the Company between the periods and improve comparability between other companies. They provide additional information to readers of this MD&A to enhance their understanding of the Company's financial performance. These measures are also used by the Company to set financial targets for its management incentive plans and to monitor the Company's compliance with its debt covenants.

Management uses these measures to exclude the impact of certain items, because it believes doing so provides investors a more effective analysis of underlying operating and financial performance and improves comparability of underlying financial performance between periods. The exclusion of certain items does not imply that they are non-recurring or not useful to investors.

These measures are defined below and reconciliations to the most comparable GAAP measure are referenced, as applicable.

"Net operating income", or **"NOI"**, is defined as revenue less operating expenses, and this value represents the underlying performance of the operating business segments.

"NOI margin" is defined as NOI as a percentage of revenue.

"EBITDA" is defined as earnings (loss) from continuing operations before net finance costs, income taxes, depreciation and amortization.

"Adjusted EBITDA" is defined as EBITDA adjusted to exclude the line items "share of profit from investment in joint ventures" and "other (income) expense", and as a result, is equivalent to the line item "earnings before depreciation, amortization, and other" reported on the consolidated statements of earnings. Management believes that certain lenders, investors and analysts use EBITDA, Adjusted EBITDA and Adjusted EBITDA margin to measure a company's ability to service debt and meet other payment obligations, and as a common valuation measurement.

"Adjusted EBITDA Margin" is defined as Adjusted EBITDA as a percentage of revenue.

Reconciliations of "net operating income" and "Adjusted EBITDA" to "earnings (loss) from continuing operations before income taxes" are provided under "Select Quarterly Financial Information – Reconciliations of Adjusted EBITDA and Net Operating Income".

"Earnings (loss) before separately reported items, net of tax" is defined as earnings (loss) from continuing operations, excluding the following separately reported line items: "fair value adjustments", "other (income) expense" and "interest and costs on early repayment of long-term debt". These line items are reported separately and excluded from certain performance measures, because they are transitional in nature and would otherwise distort historical trends. "Fair value adjustments" relate to the change in the fair value of or gains and losses on interest rate agreements. "Other (income) expense" relates to gains or losses on the disposal or impairment of assets, transaction and integration costs in connection with acquisitions, restructuring and transformation charges, and proxy related costs. The above separately reported line items are reported on a pre-tax and on an after-tax basis as a means of deriving earnings (loss) from operations and related earnings per share excluding such items.

Reconciliations of "earnings (loss) before separately reported items" to "net earnings (loss)" are provided under "Statement of Earnings".

"Funds From Operations", or **"FFO"**, is defined as net earnings before income taxes, depreciation and amortization and fair value adjustments, and the line items "other (income) expense" and "interest and costs on early repayment of long-term debt", less depreciation for furniture, fixtures, equipment and computers, or "depreciation for FFEC", depreciation for office leases, accretion costs, net interest expense and current income taxes (excluding current income taxes in respect of "fair value adjustments", "other (income) expense" and "interest and costs on early repayment of long-term debt" that are not otherwise included in FFO). The Company determines and includes its 15% share of FFO from its joint ventures on this same basis. Depreciation for FFEC is considered representative of the amount of maintenance (non-growth) capital expenditures, or "maintenance capex", to be used in determining FFO, as the depreciation term is generally in line with the life of these assets. FFO is a recognized earnings measure that is widely used by public real estate entities, particularly by those entities that own and/or operate income-producing properties. Management believes that certain investors and analysts use FFO, and as such has included FFO to assist with their understanding of the Company's operating results.

Reconciliations of FFO to "net earnings" are provided under "Funds From Operations and Adjusted Funds From Operations – Reconciliations of FFO to Net Earnings".

"Adjusted Funds From Operations", or **"AFFO"**, is defined as FFO plus: i) the reversal of non-cash deferred financing and accretion costs; ii) the reversal of non-cash share-based compensation; iii) the principal portion of government capital funding; iv) amounts received from income support arrangements; and v) the reversal of income or loss of the captive insurance company that was included in the determination of FFO, as those operations were funded through investments held for the former U.S. self-insured liabilities, which are not included in the Company's reported cash and cash equivalents. In addition, AFFO is further adjusted to account for the difference in total maintenance capex incurred from the amount deducted in the determination of FFO. Since the Company's actual maintenance capex spending fluctuates on a quarterly basis with the timing of projects and seasonality, the adjustment to AFFO for these expenditures from the amount of

depreciation for FFEC already deducted in determining FFO, may result in an increase to AFFO in the interim periods reported. The Company determines and includes its 15% share of AFFO from its joint ventures on this same basis. Management considers AFFO a relevant measure of the ability of the Company to earn cash and pay cash dividends to shareholders.

"Payout ratio" is defined as the ratio of dividends declared to AFFO. Management considers this a useful metric to evaluate the Company's dividend capacity.

Both FFO and AFFO are subject to other adjustments, as determined by management in its discretion, that are not representative of the Company's operating performance.

Reconciliations of "net cash from operating activities" to "AFFO" are provided under "Funds From Operations and Adjusted Funds From Operations – Reconciliations of AFFO to Net Cash From Operating Activities".

"Debt to Adjusted EBITDA" is defined as total debt divided by Adjusted EBITDA. Total debt consists of all short-term and long-term credit facilities, mortgages and lease liabilities on the Company's balance sheet, excluding deferred financing costs, and includes letters of credit of drawn under the Company's revolving credit facility.

"Interest coverage ratio" is defined as the ratio of Adjusted EBITDA to interest expense, including interest capitalized and excluding financing prepayment costs and the amortization of deferred financing costs.

Management considers debt to Adjusted EBITDA and interest coverage ratio relevant measures as they indicate the Company's ability to service and repay its debt.

RISKS AND UNCERTAINTIES

There are certain risks inherent in an investment in securities and activities of the Company, which investors should carefully consider before investing in the Company. Risks and uncertainties are disclosed in the Company's 2025 Annual Information Form, including without limitation, "Risks Related to Inflationary Pressures, Tariffs and Supply Chain Interruptions", "Risks Related to Liability and Insurance", "Risks Related to Government Oversight, Funding and Regulatory Changes", and "Risks Related to a Pandemic, Epidemic or Outbreak of a Contagious Illness, such as COVID-19", found under the section "Risk Factors – Risks Related to the Business" and "Cash Dividends Are Not Guaranteed", found under the section "Risk Factors – Risks Related to the Common Shares". To the extent there have been any changes to those risks or uncertainties as of the date of this MD&A, they are discussed under "Forward-looking Statements" and "Significant Developments".

Endnote

(1) This is a non-GAAP financial measure. Refer to the discussion under "Non-GAAP Measures".
